PERSONAL INVESTOR SUITABILITY QUESTIONNAIRE

Client Name: ____

Purpose

A clear understanding of your personal circumstances, financial position, objectives, and the dynamics between your ability and willingness to accept the investment risks is required to ensure that any investment advice or recommendations are suitable and in your best interests. The information collected through this process helps to align investment strategies with your goals and provides the assurance that your portfolio is structured in an appropriate manner.

Global Wealth Advisory has a two-tier approach to this crucial step of the financial planning process:

1. Personal Investor Suitability Questionnaire

This covers information essential to properly determining your Risk Profile, including but not limited to: Your time horizon; Your objectives and requirements in relation to capital security, income and capital growth; Your investment experience and preference; Your attitude to risk including tolerance of the risk that the advice will not produce the expected benefits and tolerance of the risk of capital loss.

2. Risk Discussion

This ensures that you understand your investment decisions considering your own situation, objectives and needs. This step involves an introduction to key concepts relating to investing and risk such as volatility, diversification, asset allocation and the relationship between risk and return. Refer to the glossary on page 5 and 6.

1. PERSONAL INVESTOR SUITABILITY QUESTIONNAIRE

1.1. Needs and Objectives

This section identifies your primary investment goals and timeframes. Understanding whether you are focused on retirement planning, wealth creation, capital preservation, or income needs ensures that the investment strategy selected is aligned with your personal objectives

a. Please specify your primary investment goal

- ☐ Saving towards retirement
- ☐ Income during retirement
- ☐ Wealth creation – process of generating and growing assets, income or value over time through investments
- ☐ Wealth preservation – the practice of protecting and maintaining existing assets to ensure their value is not eroded by risk such as inflation, taxes or market volatility
- ☐ Externalizing assets – the process of moving all investments offshore to diversify, protect wealth and access international opportunities globally
- ☐ Other: ____________________

b. Please specify the investment term of your primary investment goal

☐ Short-term (1 – 2 years) ☐ Medium-term (> 3 years) ☐ Long-term (> 5 years)

c. The objective of this portfolio is to:

☐ Draw a regular income ☐ Grow capital

☐ Preserve capital ☐ Combination

1.2. Current Financial Situation

This section captures key details of your financial position, including assets, liabilities, income, and emergency funding. Understanding your financial situation helps determine how much risk you can realistically take on and ensures that recommendations are appropriate to your circumstances

a. Do you have emergency funds or sufficient cash investments that are easily accessible without penalties for unexpected needs?

☐ Yes ☐ No

If yes, emergency fund covers approximately (months' expenses and amount): R ____________________

b. Current Financial position:

Please provide a summary of your current financial position:

Detail	R
Total Non Financial Assets (e.g. property, vehicles):	
Total Financial Assets (e.g. savings, retirement funds):	
Short Term / High Interest Liabilities (e.g. loans, credit cards):	
Long Term Liabilities (e.g homeloans):	
Current Regular Monthly Income:	

Highlight any limitations your current financial position might have.

1.3. Investment Knowledge and Experience

This section considers your familiarity and experience with different types of investments. Understanding your level of knowledge helps ensure that recommendations are presented clearly to you. Whether you are new to investing or have significant experience, identifying your comfort level allows strategies to be matched with the right balance of simplicity and guidance.

a. How would you rate your knowledge and experience?

☐ No knowledge ☐ Limited knowledge ☐ Moderate knowledge

☐ Above average knowledge ☐ Expert knowledge

1.4. Risk Tolerance

This section explores your willingness to accept fluctuations in the value of your investments. Understanding your tolerance for risk helps determine the balance between stability and growth that is most suitable for you. By identifying how much short-term volatility you are prepared to accept, we can align your investment strategy with your long-term objectives while ensuring you remain confident and comfortable with the journey

a. Do you have a specific investment return in mind that you would like to achieve? If yes, please indicate the percentage (%): ______________

b. Risk and Volatility Tolerance.

Investments can fluctuate in value depending on the level of risk taken. Please indicate which statement best describes your comfort with potential ups and downs in your investment value and the level of temporary loss you could tolerate in any given year:

☐ Minimal volatility (I prefer to avoid risk)– I prefer stability and regular income, even if my overall returns are lower. I would be uncomfortable with any loss in a given year (0%).

☐ Some volatility (I can tolerate moderate risk) – I can tolerate occasional short-term losses (up to 10%) if my investment still has potential for long-term growth.

☐ Moderate volatility (I accept above-average risk)– I am comfortable with moderate fluctuations (up to 20%) in exchange for higher potential long-term returns.

☐ High volatility (I am comfortable with high risk) – I am willing to accept substantial short-term fluctuations (more than 20%) to maximize long-term growth potential.

c. **If you had to choose just one of the following ten sample portfolios, which option would you feel most comfortable selecting?**

Worst Return over 1 year	Short term	0%	-2%	-4%	-6%	-8%	-11%	-15%	-19%	-24%	-28%	-32%
Average		10%	11%	11%	12%	12%	12%	13%	13%	13%	14%	14%
Best Return over 1 year		32%	33%	33%	34%	35%	38%	42%	47%	52%	57%	62%
Worst Return over 5 years p.a	Medium term	6%	6%	5%	4%	3%	2%	1%	0%	-1%	-2%	-3%
Average		10%	11%	11%	11%	11%	12%	12%	12%	12%	13%	13%
Best return over 5 years p.a		20%	20%	19%	19%	21%	23%	25%	27%	30%	32%	34%
Worst Return over 20 years p.a	Long term	8%	8%	8%	9%	9%	9%	9%	10%	10%	10%	11%
Average		10%	10%	11%	11%	11%	12%	12%	12%	13%	13%	14%
Best return over 20 years p.a		12%	13%	13%	14%	14%	15%	15%	16%	16%	17%	17%
Growth assets allocation		0%	10%	20%	30%	40%	50%	60%	70%	80%	90%	100%
Rsik profile classification		**Stable**				**Balanced**				**Growth**		
Preferred Portfolio		☐	☐	☐	☐	☐	☐	☐	☐	☐	☐	☐
Data since 1993												

1.5. Personal Investor Profile

Based on the information provided in the above sections, we have determined, and you agree that your overall risk profile for your entire investment portfolio is:

☐ Stable ☐ Balanced ☐ Growth

Please note that this assessment applies to your portfolio as a whole and not to individual products, investments, or specific objectives.

1.6. Agreement

I, the undersigned, acknowledge and agree to the following:

1. My overall risk profile for my entire investment portfolio has been determined based on the information I have provided during the planning and fact-finding process.
2. I understand that this assessment applies to my portfolio as a whole and not to individual products, investments, or specific objectives.
3. I acknowledge that the accuracy of my risk profile depends entirely on the completeness and correctness of the information I have provided regarding my financial position, investment objectives, time horizon, and tolerance for risk.
4. I understand that if any information provided is incorrect, incomplete, or omitted, the resulting risk profile may not accurately represent my true circumstances or investment preferences.

Signature : ______________________________ Date : ______________________________

2. RISK DISCUSSION

Discussion Investing involves navigating between potential returns and risks of different investment options. This discussion focuses on core investment concepts such as the risk-return trade off, volatility, drawdowns, asset classes and diversification. Part of this process is to find out what risk means to you and to determine how much risk you are willing to accept and the likely returns you can expect for the level of accepted risk.	**Defining risk** Risk in an investment context is the chance that your investment portfolio will not behave as you expected and not give the returns you hoped for. It also refers to the possibility of your investment value decreasing over the short term, as well as the possibility of high returns. Risk is defined as the variability of returns and the likelihood of negative returns (drawdowns) over different periods.
Investment term It is the amount of time you plan to keep your money invested before you plan to withdraw it. A short investment term is typically 1 to 5 years, while a long investment term would be five years or longer. The longer your planned investment term, the more risk you could potentially take, as the investment will have time to recover from negative periods and grow again.	**Asset classes** Asset classes refer to different types of investments such as equities, bonds, property and cash that you can invest in. Equity is an ownership stake in a business, while bonds are a loan to a government or a company. Different asset classes have different characteristics and potential returns. For example, cash earns interest only and the capital value does not fluctuate, while equities pay dividends and the value fluctuates daily. Cash and bonds will produce most of the return from interest, while equities and property are likely to produce most of the returns in the form of capital gains.
Asset allocation Asset allocation is the process of dividing your investments among these various asset classes. This will be based on your financial goals, risk tolerance, and time horizons. The asset allocation of your investment will determine your investment return as well as the volatility that you will experience during the investment term.	**Drawdowns** Drawdown is a way to measure how much an investment has dropped in value from its highest point. Drawdown helps you understand how much your investment value can decline during tough times. More risky investments have higher drawdowns. Knowing what level of drawdowns are normal can stop you from panicking and selling at the wrong time.
Volatility Volatility refers to how much the value of an investment can fluctuate over time, i.e. the up and down movements of your portfolio. An investment with high short-term volatility is usually classified as high-risk. An example of a high volatility investment is the equity market, where returns over 1 year can be anywhere from -40% to 50%. Conversely, an example of a low volatility investment is a savings account, where	**Risk-return trade – off** The relationship between risk and return is commonly referred to as the risk-return trade-off. Investors opting for higher-risk investments might see greater financial gains, but this comes at the cost of predictability, while the rewards could be substantial, the probability of achieving the returns is lower. On the other hand, investors who prefer safer investments give up the possibility of large returns, but the probability of achieving the lower return is higher.

the value will not fluctuate daily and you will earn a steady return every month. Equities and property (growth assets) are more volatile than bonds and cash (defensive assets). One way to deal with volatility is to focus on a longer term as fluctuations smooth out over the long term. Another way to deal with volatility is to spread your portfolio across many different investments that do not behave in the same way. This is called diversification.	The higher the level of investment returns you are seeking, the more risk you generally need to be prepared to accept. The more your portfolio is exposed to equities and property (growth assets), the more volatile your portfolio will be over the short term, but you also have an opportunity to earn higher returns. It is important to understand the likely returns and volatility of your investment portfolio.
Inflation Inflation is a measure of how much the price of goods and services rises or falls over time. Inflation erodes the spending power of your investments. It is important to determine whether investments can earn returns equal to or more than inflation.	**Diversification** It is the strategy of spreading investments across different asset types to reduce exposure to any single risk. It's a way to cushion your portfolio against unpredictable market movements. Owning a diverse range of investments should help you achieve smoother, more consistent investment returns over time